Tutorial 6

Scalping Playbook: Microstructures, Entries, Exits, and Re-Entries

Turn the live chart lesson into a repeatable process for paper-trading practice.

Student Guide | Trading Education Workbook

Purpose of this handout

This document turns one coaching topic into a focused lesson, practice routine, and homework assignment. It is written for education and paper-trading practice only. It is not financial advice and does not recommend buying, selling, shorting, or holding any security.

Source of the lesson

Based on the coaching conversation with Val and Adel on technical execution, risk management, and chart study. External references are included to deepen the concept and give the student reliable follow-up reading.

How to use this tutorial

1. Read the objective and key terms first.
2. Study the chart logic slowly before trying to trade it.
3. Complete the practice drill using paper trading or chart replay.
4. Answer the homework questions at the end in writing.

Learning Objective

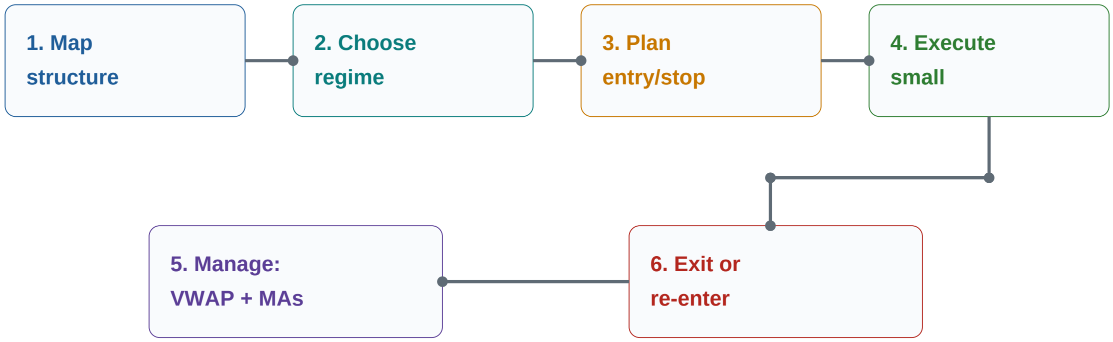
By the end of this tutorial, the student should be able to build a simple scalping plan using price, volume, VWAP, moving averages, microstructures, staggered entries, partial exits, and tight invalidation. The student should also know when not to chase.

One-sentence lesson
A scalp is not a prediction; it is a fast, risk-defined plan that must be managed continuously as price, volume, VWAP, and moving averages update.

Key Terms

Term	Student Definition	Use in the Lesson
Scalp	A short-term trade often lasting minutes to a couple hours.	Used near dynamic levels when the student is actively watching.
Microstructure	Small support/resistance behavior inside a short timeframe.	Used to anticipate the next few minutes, not the next week.
Partial exit	Selling part of the position while keeping the rest.	Locks profit and reduces emotional pressure.
Re-entry	Entering again after an exit when structure gives a new reason.	Used only when the setup resets; not revenge trading.
No-chase rule	A rule that prevents buying after the move is already extended.	Protects the student from FOMO.

Scalping is a process, not a prediction. Keep cycling through map -> execute -> manage.



The Four Tools of the Scalping Lesson

The coaching session simplified scalping into four tools: price, volume, VWAP, and SMA/EMA. This is important because beginners often overload the chart with indicators and then cannot make a decision.

Scalping requires attention. If the student cannot watch the chart, move stops, and recognize changes in structure, the trade should not be treated as a scalp.

The Basic Scalping Stack

Layer	Purpose	Student Question	
Price	Shows the actual auction and candle behavior.	Where is price now relative to the plan?	
Volume	Shows participation behind movement.	Is the move supported or weak?	
VWAP	Shows volume-weighted context.	Is price holding, reclaiming, or rejecting VWAP?	
SMA/EMA	Shows dynamic trend rhythm.	Is price respecting the fast/slow trend lines?	
Structure	Shows static danger zones.	Am I near pivot, floor, resistance, or invalidation?	

Microstructures on 3- to 5-Minute Charts

A microstructure is a small intraday pattern of higher lows, lower highs, tiny support, or tiny resistance. In a scalp, these structures help the student decide whether the next five to ten minutes are likely to continue, stall, or reverse.

Microstructure should not replace the larger map. It is a timing tool inside the larger context.

Scalping Entry Process

1. Start with the weekly/daily/30-minute structure so you know the danger zones.
2. Confirm the current regime: scalp, momentum, swing, or no-trade.
3. Watch 5-minute and 2-minute behavior near VWAP or moving averages.
4. Draw the nearest microstructure support/resistance.
5. Plan entry, stop, and first target before clicking.
6. Use smaller size and paper trading while the mechanics are being learned.
7. Take partial profits into planned targets or price magnets.
8. Only re-enter if price resets at a planned level with defined risk.

No FOMO rule

Missing a move is acceptable. Chasing a move after the plan has passed is not a scalp; it is emotional reaction. In the coaching session, patience was treated as part of the trade.

Entry, Exit, and Re-Entry Logic

Situation	Better Action	Avoid	
Price pulls into VWAP and holds	Plan a risk-defined entry if volume/structure agree.	Buying only because VWAP was touched.	
Price spikes away from support	Wait for pullback or retest.	Chasing green candles.	
First target reached	Consider partial exit.	Turning a winner into hope.	
Price returns to planned support after exit	Consider re-entry only if the setup is still valid.	Re-entering because you regret selling.	
Pivot/invalidation breaks	Stop trading the scalp idea.	Moving the plan to avoid being wrong.	

Scalping Checklist

Action	Done
Weekly/daily structure has been mapped.	
VWAP and moving averages are clean and readable.	
The current setup is truly a scalp, not a forced swing trade.	
Entry, stop, target, and re-entry conditions are written before entry.	
Position size is small enough to think clearly.	
The student is rested and able to watch the chart continuously.	
No-chase rule is active.	

Common Scalping Mistakes

- Trying to scalp while tired, distracted, or away from the screen.
- Using a 2-minute breakout to justify a larger momentum trade without higher-timeframe confirmation.
- Taking profit too randomly and then re-entering emotionally.
- Ignoring volume when price moves quickly.
- Forgetting that one bad stop-loss mistake can erase many small scalp wins.

Research References

Use these references to deepen the lesson. They are educational sources; they do not replace a written trading plan or broker-specific rules.

1. TradingView Help Center - Volume Weighted Average Price (VWAP). Defines VWAP as price weighted by volume and notes common intraday use. https://www.tradingview.com/support/solutions/43000502018-volume-weighted-average-price-vwap/

2. StockCharts ChartSchool - Moving Averages: Simple and Exponential. Explains SMA/EMA differences and how moving averages can identify trend direction and potential support/resistance. https://chartschool.stockcharts.com/table-of-contents/technical-indicators-and-overlays/technical-overlays/moving-averages-simple-and-exponential

3. StockCharts ChartSchool - Technical Analysis 101, Part 10. Explains volume confirmation: volume should generally expand with the trend and contract on pullbacks. https://chartschool.stockcharts.com/table-of-contents/overview/technical-analysis-101/ta-101-part-10

4. SEC Investor.gov - Day Trading. Warns that day trading is extremely risky and can cause substantial losses in a short period. https://www.investor.gov/introduction-investing/investing-basics/glossary/day-trading

Homework - Complete Before the Next Session

Complete the assignment in chart replay or paper trading. Do not use real money for this drill.

Question / Prompt	Student Answer
What are the four core tools of this scalping playbook?	
What timeframe did you use to map structure before the scalp?	
What timeframe did you use for microstructure timing?	
Where was your planned entry and why?	
Where was your planned stop and why?	
Where was your first target or partial-exit area?	
Did volume confirm the move or warn against it?	
Did price hold, reclaim, reject, or lose VWAP?	
Did you follow the no-chase rule? Describe the hardest moment.	
If you re-entered, what was the new reason and where was the new invalidation?	

Submission Checklist

Item to Submit	Done
3 chart replay scalp plans with entry, stop, and target marked before replaying.	
At least one example of a skipped trade due to no-chase rule.	
One written post-trade review explaining whether the plan was followed.	